SpaceX

SPCX | Space Exploration Technologies Corp. | Full deep dive | 30 September 2026

Framework 8.0

WATCHLIST / physical-infrastructure bottleneck with competitive AI exposure

Decision variable	Current model
Analytical Base	70 / 100, derived from 42 / 60
Active ceiling quarter	Q3 2027; operating window Q3 2027-Q2 2028
Active ceiling	$ 86.79 per ordinary share
No-increment control	$ 95.86; same reference, costs, method and shares
Method	20x forward-four-quarter GAAP-derived operating profit
Costs retained	Depreciation, SBC, R&D, serving cost and modeled Cursor acquisition amortization
Group scope	Space, Connectivity, xAI/X/Grok and Cursor since August 14 closing
Quote snapshot only	$151.71; September 30, 2026, 15:36 EDT, market open
Market capitalization snapshot	Approximately $2.06 trillion; quote-provider basis
Latest reported financials	Q2 2026; August 4 release and June 30 Form 10-Q

The thesis

Scaled launch and satellite deployment support a recurring connectivity business. Compute contracts and owned AI applications could expand the group much faster, while Starship, direct mobile and orbital compute widen the longer-term opportunity. Each step requires physical capacity, paid realization and retained costs; announced size alone is not an earnings bridge.

What is active in the model

The December $100bn annualized group-revenue ambition calibrates the near-term reference. The much larger $1tn actual annual 2030 management endpoint receives a joint 22.5% probability, with explicit incremental product economics. Compute realization and consumer ARPU have separate adverse branches. The same capacity is never sold twice.

All forecast financials are USD millions; shares are millions of ordinary shares. Current price is context only and does not enter revenue, Base or ceiling calculation. Source claims, reported figures and analytical proxies are separated throughout. [F1-F3,T1-T3,S10]

The company: one integrated group

Space, Connectivity and AI, including X/Grok and Cursor

SpaceX develops launch systems, deploys and operates a satellite network, sells connectivity, and operates an AI infrastructure and software business. Falcon reuse and launch cadence help finance and replenish a constellation that generates recurring service revenue. The same listed group now contains xAI/X and, since August 14, Cursor. Historical group comparisons already include the common-control AI mergers. [F1-F3]

Engine	External customer economics	Important boundary
Space	Launch services and development contracts	Internal satellite launches are investment, not new external revenue
Connectivity	Consumer broadband, enterprise, aviation, maritime and government	Subscriber timing, terminals, regional mix, capacity and spectrum affect realization
AI infrastructure	Compute capacity leased to external customers	Nameplate watts are not automatically billed watts; renewal terms can be short
AI applications and X	Subscriptions, APIs, coding agents, advertising and other products	Internal compute cannot earn wholesale and retail revenue simultaneously
Future mobile and orbital services	New customers or useful capacity at better economics	Deployments, approvals, operating availability and customer capture remain uncertain

Where the moat is strongest

Reusable launch, satellite manufacturing, constellation operations, terminals and customer distribution form a difficult-to-replicate physical system. Deployment speed, launch cost and service experience reinforce one another. Spectrum rights, ground infrastructure and government/enterprise relationships add barriers. That makes Connectivity more than a standalone satellite operator.

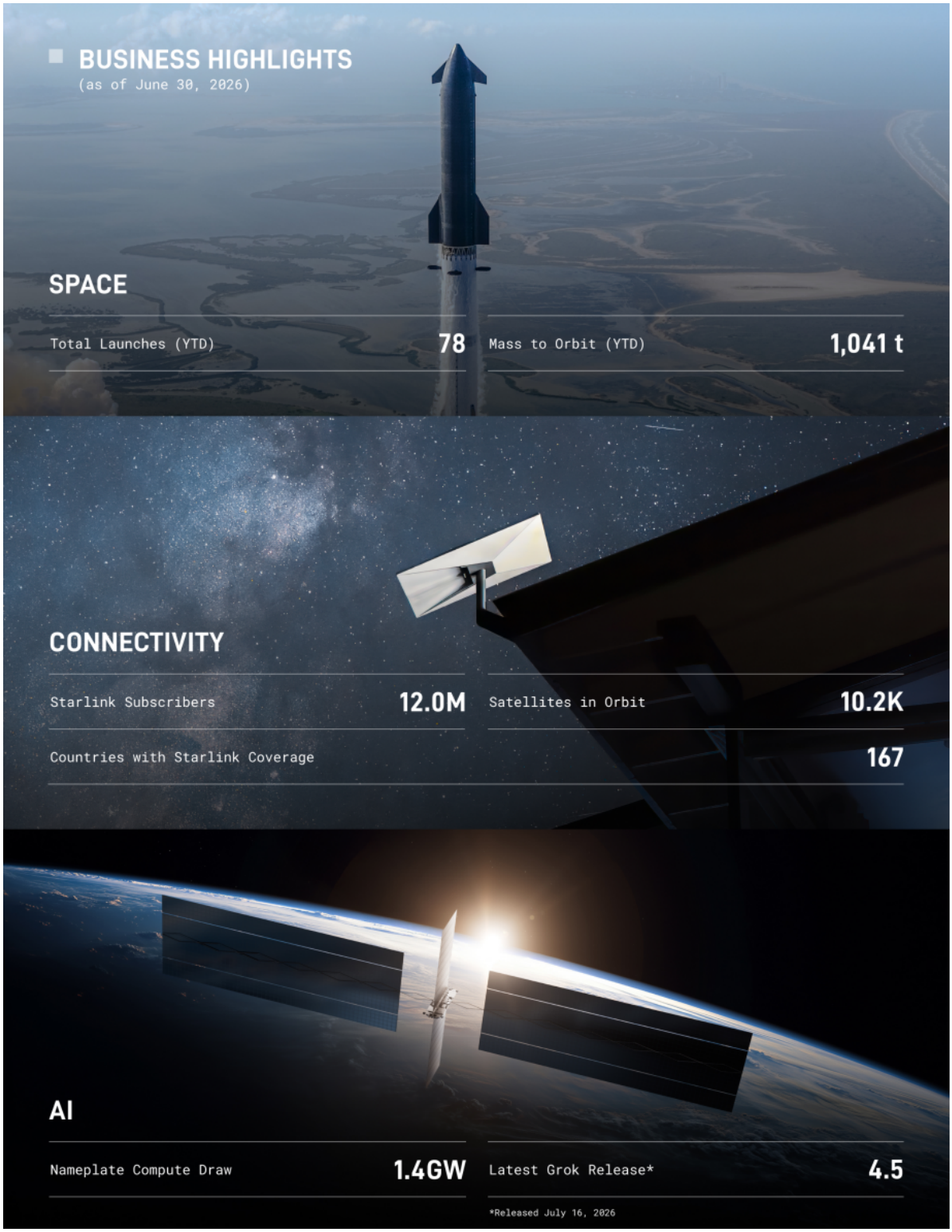
Where the moat is less settled

Starship still must establish repeatable rapid reuse, while AI customers can compare suppliers and foundation models can lose share quickly. Large compute ownership is useful only when capacity earns more than its serving, depreciation and development costs. Control of several layers creates options; it does not make every layer a separate high-margin business.

DB3 LEO infrastructure and DB10 compute both apply. SpaceX has a distinctive bottleneck position in launch-to-connectivity execution, while the combined group also has beneficiary and competitive software exposure. Classification should reflect the entire group, not only its strongest asset.

The reported operating footprint

Original issuer exhibit | Quarter ended June 30, 2026



Issuer exhibit 1. August 4 Q2 results, page 2. Launch/mass figures are year-to-date; subscribers and satellite/compute figures are period-end. Orbital imagery is illustrative, not evidence of operational orbital AI. The Grok version is the dated July reference, not the latest September release. [F1]

The three businesses have different denominators: launches, subscribers and compute capacity. The model converts each into recognized revenue and retained operating cost before consolidation. No internal transfer price becomes a new group sale.

Latest management evidence

August 4 first public earnings call and September 10 CFO conference

Topic	Management evidence	Model boundary
Near-term scale	Approximately $100bn group annualized revenue in December 2026, including Cursor	December monthly revenue x 12; not revenue earned during all of 2026
Terrestrial capacity	More than 2GW at end-2026; 5-10GW at end-2027	Ending nameplate capacity differs from average commissioned and paid capacity
Compute realization	$30-50 annual revenue per watt, with ambition toward the high end	Pricing/monetization estimate, not a guaranteed margin or billed utilization
Customer commitment	Common structure: 90 days plus 90-day termination notice	A long headline contract value can exceed enforceable near-term exposure
September hosting contract	$1.11bn/month beginning December 1	Included in the capacity/run-rate calibration; not an extra sales line
Mobile and orbital timing	Next-generation mobile in H1 2028; first orbital compute in 2027 then scale in 2028	Specific forward timing evidence, not already reported revenue
2030 group endpoint	Management internal forecast of $1tn annual revenue in 2030	A low-confidence joint outcome, not independent additions across every business

T1/T2 contain complete management speech through public transcript mirrors. F1 confirms the first public earnings event; T3 confirms the September conference. These are management remarks rather than broker targets. Important reported quantities are checked against the release and 10-Q; transcript limitations remain explicit.

Timing and enforceability matter

The August discussion of $6.7bn additional cloud contracted revenue over six months and the September contract cannot be stacked on top of capacity-derived sales after the December run-rate is calibrated. Nor is the total group backlog a separate annual-revenue source. Recognition follows delivered service, not announcement size.

The endpoint is modeled probabilistically before complete proof, as Framework 8 requires. The weight reflects physical execution, demand, realization and correlated dependencies; it is not a judgment that management did not make the statement.

A concrete permitting risk appears in the 10-Q: the NAACP filed a Colossus II gas-turbine permit lawsuit on April 14 and sought a preliminary injunction on May 6. The defendants opposed it; the U.S. moved to intervene to dismiss and Mississippi opposed the injunction. This is a disclosed dispute, not an assumed shutdown or adjudicated violation. Capacity timing remains the economic transmission. [F2]

Connectivity: recurring scale, real investment

Original issuer exhibit | Broadband and enterprise economics

Connectivity Segment Operating and Financial Data

$, in millions (except where noted)	Three Months Ended			Six Months Ended	
	June 30, 2026	March 31, 2026	June 30, 2025	June 30, 2026	June 30, 2025
Starlink Subscribers (#, in millions, as of period end)	12.0	10.3	6.0	12.0	6.0
Starlink ARPU ($ per month)	$66	$66	$85	$66	$85
Consumer revenues	$2,485	$2,148	$1,721	$4,633	$3,213
Enterprise & government revenues	1,806	1,109	867	2,915	1,849
Connectivity revenues	**$4,291**	**$3,257**	**$2,588**	**$7,548**	**$5,062**
Less:					
Cost of revenue	$2,060	$1,651	$1,401	$3,711	$2,615
Research and development	294	205	143	499	266
Selling, general, and administrative	281	213	121	494	225
Income from operations	**$1,656**	**$1,188**	**$923**	**$2,844**	**$1,956**
Segment Adjusted EBITDA reconciliation					
Income from operations	$1,656	$1,188	$923	$2,844	$1,956
Depreciation & amortization	805	783	569	1,588	1,078
Share-based compensation	136	116	91	252	166
Connectivity Adjusted EBITDA	**$2,597**	**$2,087**	**$1,583**	**$4,684**	**$3,200**
Connectivity Capex	$1,367	$1,332	$1,130	$2,699	$1,944

Connectivity Business Highlights

- Connectivity revenues were up 32% sequentially and 66% year-over-year to $4.3 billion, driven by strong Starlink subscriber growth, with Consumer revenues up 16% sequentially and 44% year-over-year, and an increase in Enterprise & Government revenues, up 63% sequentially and 108% year-over-year
- Total costs and expenses for the Connectivity segment were up $970 million year-over-year, driven primarily by increased spend to support revenue growth, as well as higher R&D expenses for our next-generation V3 satellites, which we expect to deliver meaningful increases in broadband capacity and data density
- Drove income from operations for the Connectivity segment up 79% year-over-year to $1.7 billion, and improved Connectivity Adjusted EBITDA by 64% year-over-year to $2.6 billion
- Reached 12.0 million Starlink Subscribers as of the end of Q2 2026, doubling year-over-year and up 1.7 million sequentially, while maintaining ARPU at $66, in line with Q1 2026
- Demonstrated traction across our enterprise business: signed a major agreement with American Airlines; activated our service on a number of new airlines including Southwest, Virgin Atlantic, Iberia and Aer Lingus; and launched new Starlink Mobile partnerships with international carriers, including SoftBank, NTT Docomo and Spark NZ
- Awarded over $6 billion in multi-year U.S. government contracts for Starshield, our secure satellite network designed specifically for government customers and national security applications, primarily from two major Space Force contracts for LEO-based communications and sensing constellations
- Received FCC approval of the EchoStar license transfer for 65 MHz of spectrum in the U.S. and certain global Mobile Satellite Service spectrum licenses

SPACEX 5

Issuer exhibit 2. Q2 release, page 5, August 4. The 12m subscriber count is quarter-end; $66 is reported monthly ARPU. Government awards are multiyear contracts. Operating profit includes depreciation and SBC; adjusted EBITDA does not. [F1]

Consumer revenue is $2,485m and enterprise/government is $1,806m. Quarter-end subscribers x three months x ARPU does not equal recognized consumer revenue. Average subscribers, terminal/hardware scope and timing require a calibrated residual. V3 capacity supports growth only after checkout and customer adoption.

AI: new revenue and retained operating cost

Original issuer exhibit | Corrected compute comparison

AI Segment Operating and Financial Data

$, in millions (except where noted)	Three Months Ended			Six Months Ended	
	June 30, 2026	March 31, 2026	June 30, 2025	June 30, 2026	June 30, 2025
Nameplate compute (in GW)	1.4	1.0	0.4	1.4	0.4
Advertising revenues	$367	$343	$426	$710	$870
AI solutions & infrastructure revenues	2,194	475	311	2,669	595
AI revenues	**$2,561**	**$818**	**$737**	**$3,379**	**$1,465**
Less:					
Cost of revenue	$1,106	$456	$551	$1,562	$1,002
Research and development	2,178	2,379	1,122	4,557	2,030
Selling, general, and administrative	532	463	398	995	699
Restructuring charges (credits)	2	(11)	190	(9)	194
Loss from operations	**$(1,257)**	**$(2,469)**	**$(1,524)**	**$(3,726)**	**$(2,460)**
Segment Adjusted EBITDA reconciliation					
Loss from operations	$(1,257)	$(2,469)	$(1,524)	$(3,726)	$(2,460)
Depreciation & amortization	1,885	1,493	811	3,378	1,584
Share-based compensation	516	378	247	894	295
Restructuring charges (credits)	2	(11)	190	(9)	194
AI Adjusted EBITDA	**$1,146**	**$(609)**	**$(276)**	**$537**	**$(387)**
AI Capex	$15,828	$7,723	$749	$23,551	$3,316

AI Business Highlights

- AI revenues were up 213% sequentially and 247% year-over-year to $2.6 billion, primarily driven by an increase in AI solutions and infrastructure revenues from new Cloud Service Agreements, as well as an increase in Grok and X subscription revenues
- Total costs and expenses for the AI segment were up $1.6 billion year-over-year, driven by increased R&D investment, primarily due to higher infrastructure spend as we accelerated compute deployment
- Cut operating loss by 49% compared to Q1 2026 to a loss of $1.3 billion and achieved positive AI Adjusted EBITDA of $1.1 billion
- Expanded compute capacity to 1.4 GW, up from 1.0 GW in Q1 2026 and 0.4 GW in Q2 2025*, with the continued build-out of Colossus II and with significant incremental capacity under construction
- Entered into several Cloud Services Agreements totaling $14.1 billion in contracted sales to provide customers with access to compute capacity, which resulted in $1.6 billion in incremental AI infrastructure revenues for the second quarter
- Announced an agreement to acquire Cursor for $60 billion to accelerate our AI enterprise offerings with one of the most advanced AI coding tools available. We expect to close the deal in the third quarter of 2026
- Subsequent to the second quarter, released Grok 4.5 in July, our largest and smartest model yet, built to excel at coding, agentic tasks, and knowledge work. The model was trained alongside Cursor and incorporates our 1.5 trillion-parameter V9 foundation model

* This version corrects a typographical error that appeared in the version furnished to the SEC.

SPACEX 6

Issuer exhibit 3. Corrected Q2 release, page 6. Q2 2025 compute is 0.4GW; the source footnote explains the earlier typo. Cursor is described here as pending on August 4 but subsequently CLOSED August 14. The current model includes it from closing. [F1,F3]

Q2 AI operating loss is $1,257m despite $1,146m adjusted EBITDA. The difference includes $1,885m depreciation/amortization and $516m SBC. Existing training, serving and product development remain economic costs. New cloud revenue of $1,600m is already inside total AI solutions/infrastructure revenue of $2,194m.

Cursor, Grok and the value of an owned application

Completed acquisition, shared compute and distinct external revenue

Cursor became part of SpaceX on August 14. The issuer describes an ambition to turn stronger models into useful coding teammates, supported by the group's compute fleet. Closing is a reported event; future adoption, retention, gross margin and integration are modeled outcomes. [F3,S1]

Input	Evidence / treatment
Cursor revenue anchor	Its Press section links a March 2 Bloomberg headline reporting $2bn recurring revenue; an issuer-linked media run-rate, not audited quarterly sales. [S11]
Posted prices	Pro $20, Pro+ $60, Ultra $200 per month and Teams $40/user; these do not establish realized revenue per customer
Closing common consideration	389.289254m common shares plus 1.752426m vested-RSU shares before withholding
Assumed employee awards	29.128326m unvested RSUs plus 44.365047m options; potential dilution distinct from issued common
Purchase accounting	Detailed intangible allocation and future amortization not yet reported; retain a bounded cost proxy and sensitivity
Compute consumed internally	Offset foregone external hosting revenue when incremental own-product usage takes that capacity

One watt, one revenue pool

Capacity can support external hosting or internal products. If Grok/Cursor monetization is better, the group may prefer applications, but the associated hosting dollars must be displaced. The joint model can benefit from a higher value per useful watt; it cannot charge a customer for wholesale capacity and count the same work again as an independent application pool.

Competitive capture

Paid developers can switch tools or models, inference costs can rise with longer tasks, and discounts or included usage can separate list price from realized margin. OpenAI, Anthropic, Google and other coding/model ecosystems compete directly. X distribution can lower acquisition friction but does not convert every account into a paid enterprise seat.

The product case retains current AI R&D, serving costs, depreciation, SBC, integration expense and modeled Cursor amortization. No "software margin" shortcut erases the underlying compute economics. [F1-F3,S1,S2]

TAM expansion and the Ford principle

From existing customers to new services made possible by lower deployment cost

Framework phase	Concrete opportunity	How it enters the model
Phase 1 / 100% heuristic	Existing launch/development, broadband, enterprise/government, hosting, advertising and paid AI	Latest actuals, customer/capacity denominators and explicit reference realization; no certainty of future sales
Phase 2 / 50% heuristic	V3 density, next-generation mobile, larger paid coding and enterprise AI workloads	Customer capture and service timing within the joint commercialization bridge
Phase 3 / 20% heuristic	Orbital AI and new activities enabled by radically cheaper reusable launch	Low-confidence operational endpoint; explicit joint probability, costs and physical checks

Management's $1tn 2030 revenue aspiration is a company endpoint, not a measured global TAM. Broadband, mobile, compute and application markets overlap. Global telecom spending and global AI capex cannot each be assigned to SpaceX, and internal launch or compute transfers eliminate at consolidation.

What makes a new market plausible

Cheaper launches can change the cost of replenishing satellites and enable services that were previously uneconomic. Wider connectivity can support remote physical AI, while sustained agents can consume more useful inference. These are forward demand mechanisms; the model still needs users, capacity, utilization, realization and margin for SpaceX's capture.

The physical and commercial ceilings

Spectrum, country approvals, usable coverage, traffic density, affordable terminals, reliable satellites, power, chips and launch cadence constrain supply. Willingness to pay, competing terrestrial networks and software substitution constrain demand. Neither a theoretical fleet size nor a nameplate gigawatt is recognized revenue.

The final active forecast contains one explicit 22.5% joint endpoint weight. Ford-phase percentages are conceptual starting heuristics and are not multiplied on top. Separate supporting breadcrumbs improve or weaken the same outcome rather than independently adding every possible market.

Starship, V3 and orbital compute

Technical evidence supports a bounded outcome; deployment is not yet full economics

Evidence	Company-specific transmission	Boundary
Starship flight-14 plan	26 V3 satellites at about 1Tbps each; much more capacity per launch	Primary page is a preflight plan. Payload deployment does not prove rapid full reuse or immediate customer capacity
V3 broadband	More capacity and density can expand subscriber and enterprise service	Already reflected in reference growth; no second full capacity-to-revenue addition
Starmind AI1 specification	175kW average / 250kW peak; factory ambition of thousands of units from late 2027	Use average power, operating availability and external allocation; peak power is not annual billed capacity
NVIDIA August 24 collaboration	Vera/Vera Rubin engineering support and a planned NVL72 first Starmind system	Supports engineering credibility, not proven orbital margins
Anthropic May 6 interest	Customer interest in multiple-GW orbital collaboration	Not a booked orbital order or proof of revenue timing

Illustrative physical bridge: operating satellites x 0.000175GW average capacity x external allocation x utilization x annual revenue dollars per watt / four quarters. Unit counts, availability, cadence and realized price remain low-confidence assumptions. A proposal for up to one million satellites is an architecture/regulatory ceiling, not production guidance. [S3-S6]

Why the economics are difficult

Vacuum does not remove heat; radiators must reject it. Radiation, communications, solar power, orbital debris, replacement/repair and launch cost affect reliability and usable output. Hardware ages even when fuel or terrestrial power costs are lower. Full rapid reusability and repeatable deployment are decisive tests, not assumed completed achievements.

Contemporary reports describe September 28 payload deployment, but the inspected primary mission page does not establish every achieved objective. The active model therefore prices the broader outcome jointly with compute/mobile/application capture and does not add a second orbital revenue prize on top of the $1tn endpoint.

Reported accounting and segment reconciliation

USD millions | Actual history, including common-control AI presentation

Period	Revenue	GP	R&D	SG&A	Restruct.	Impair.	GAAP OP	D&A retained	SBC retained
Q1 2025 derived	4,067	2,105	1,557	493	4	24	27	1,444	231
Q2 2025	4,071	1,789	1,958	606	190	5	-970	1,526	463
Q1 2026	4,694	2,306	3,514	746	-11	0	-1,943	2,442	639
Q2 2026	7,814	4,319	3,548	912	2	0	-143	2,848	831

Q1 2025 is H1 less Q2, not a separately inspected quarterly release. No uninspected Q3/Q4 2025 seasonality is invented. Historical xAI/X results are already in the consolidated comparison. Future ordinary restructuring/impairment is assumed zero without removing current ongoing research, training, serving, depreciation or SBC. [F1,F2,F4]

Q2 2026 segment	Revenue	GP	R&D	SG&A	Other operating costs	Operating profit
Space	962	633	1,076	99	0	-542
Connectivity	4,291	2,231	294	281	0	1,656
AI	2,561	1,455	2,178	532	2	-1,257
Total	7,814	4,319	3,548	912	2	-143

Consolidated Q2 OP = 4,319 GP - 3,548 R&D - 912 SG&A - 2 restructuring = -143. D&A of 2,848 and SBC of 831 already sit within those expenses. Their cash-flow add-backs below do not turn the operating model into adjusted EBITDA.

Six reported revenue vectors expand to eight modeled vectors by separating the reported $1,600m new cloud-contract sales from the $594m residual within AI solutions/infrastructure, then adding Cursor only after closing. Individual product GP is estimated and reconciled to the exact reported segment GP. Internal launches do not create intersegment sales.

Reference revenue and margin calibration

Operational denominators first; each product has a distinct gross-margin assumption

Vector	Quarterly revenue mechanism	June calibration GM	Forward gross-margin rule
Launch services	Customer launches x realized revenue per launch	70.00%	70%; launch ASP starts at $64.8m and falls 2% annually
Launch / development	Prior-quarter sales x explicit milestone-growth proxy	57.13%	Residual margin holds; quarterly growth slows from 10% in 2026 to 3% in 2030
Consumer	Average subscribers x monthly ARPU x 3 + residual per net add	48.00%	48% in 2026; rises 0.5pp/year, capped at 50%
Enterprise / government	Prior-quarter growth: 20%, 13%, 10%, 8%, 6% by model year	57.49%	June residual +0.5pp/year, capped at 60%; existing awards/mobile included
X advertising	$367m June base x 10% annual growth x seasonal proxy	50.00%	50%; standalone GP is not reported
AI hosting	One AI pool x external allocation	65.00%	60% / 58% / 56% / 55% / 55% in 2026-2030
AI apps / subscriptions	One AI pool x own-product allocation	38.97%	40% / 45% / 48% / 50% / 52%
Cursor	Q3 partial consolidation; thereafter allocated from the same AI pool	No Q2 revenue	40% / 45% / 48% / 50% / 52%; acquired amortization separate

All standalone product margins above are LOW-confidence analytical allocations, not reported segment disclosures. They exactly reproduce June group GP before forecasting. Compute, software and satellite margins retain ordinary depreciation/SBC inside their cost bases; incremental Cursor amortization is additionally shown as an acquired-asset cost.

Subscriber calibration	Calculation / interpretation
Q2 midpoint service proxy	(10.3m + 12.0m) / 2 x $66 x 3 = $2,207.7m
Residual to reported consumer revenue	$2,485m - $2,207.7m = $277.3m
Residual per net addition	$163.117647 per net add; mixed hardware/timing/scope proxy, not a disclosed kit ASP
Forward consumer path	End-2026 16m to end-2030 74m subscribers; ARPU $66 to $62; capacity, affordability and churn remain tests

The December run-rate and recognition gap

A monthly endpoint is not a quarterly or annual reported result

December reference reconciliation	USD millions / stated unit
Monthly non-AI revenue	2,601.36
Monthly AI pool, including Cursor	5,731.98
Total monthly group revenue	8,333.33
Reference annualized December revenue	100,000
Active weighted annualized December revenue	98,710.30
Ending capacity assumption	2.20 GW
Composite annual revenue per watt	31.2653 USD/W/year

The composite December realization is calibrated to management's group endpoint after non-AI revenue. It includes cloud, owned apps and Cursor; it is not the standalone hosting tariff. The new $1.11bn/month contract is inside this calibration. Quarterly average commissioning and recognition mean the December endpoint cannot simply be multiplied by three to obtain Q4 sales.

Near-term quarter	Average GW	End GW	Annual $/W	Reference revenue	Active revenue
Q3 2026	1.60	1.80	18.00	13,775.8	13,775.8
Q4 2026	2.00	2.20	27.42	21,317.0	21,059.9
Q1 2027	2.55	2.90	33.00	29,423.1	28,759.6
Q2 2027	3.25	3.60	34.00	37,051.5	36,021.0

Reference AI pool = average GW x 1,000 x annual revenue dollars/W / 4, in USD millions. The realized dollars/W input combines billed utilization, commissioning and mix. It does not claim all ending nameplate capacity is productive for a full quarter. Q2 actuals remain the calibration anchor; the late-2026 step-up is explicitly a management-dependent ramp.

Named monthly contracts sum to $3.43bn before possible overlap. Against the reference December AI requirement of $5.732bn, this leaves $2.302bn/month dependent on other customers, renewals or owned-product monetization. These contract amounts are not secured group sales and are not added again. The active December run-rate is below the $100bn reference because B2 already begins in Q4.

Short enforceable terms and a large capital build create asymmetric risk: unused capacity still depreciates and research continues. The adverse compute branch captures a bounded realization miss without pretending every public contract headline is irrevocable backlog. [F1,F2,T1,T2]

Base score and risk classes

Business quality, execution and uncertainty; no current-price input

Component	Points	Reason
Core thesis	17 / 20	Scaled reusable launch and LEO integration are difficult to replicate; AI hosting and software face capable competitors.
Cycle stage	7 / 10	Broadband is in commercial ramp; terrestrial contracts are early; rapid full reuse, mobile and orbit are pre-ramp.
TAM expansion	9 / 10	Capacity and agents open large markets; company capture is modeled jointly rather than assigning every TAM to SpaceX.
Catalysts	4 / 5	December run-rate, 2027 capacity/reuse and H1 2028 mobile provide dated tests.
Macro	8 / 10	Compute and resilient-connectivity demand support the cycle; cost of capital, hardware and regulation constrain it.
Alpha	2 / 5	Contract, accounting and share bridges add analytical value, but the company is very widely followed.
Risks	-5	Five distinct risk classes receive one deduction each.

Score = 42 / 60; rounded Base = 70. This is the Watchlist band. A physical-infrastructure bottleneck classification does not imply sole-source control over all AI software demand. Base measures thesis quality and is never reapplied as a probability discount to operating profit.

Risk class	Mechanism
Technical execution	Full reuse, launch cadence, satellite checkout, compute commissioning and orbital reliability.
Competition / monetization	LEO/fiber/mobile alternatives, paid AI substitution, price and customer renewal.
Funding / dilution	Long-lived capex versus short commitments, share awards, Cursor costs and spectrum obligations.
Regulation / geopolitics	Spectrum, safety, debris, export/country approvals and the disclosed power-permit dispute.
Governance / concentration	Key-person voting control, related parties, concentrated compute buyers and cross-business funding.

What is included once, and what is not a separate addition

Claim-level disposition prevents correlated headlines becoming duplicate sales

Claim or amount	Disposition	Next evidence test
$100bn December annualized group revenue	Used as the near-term timing anchor; not full-year sales	December run-rate, average billed capacity and recognized Q4 revenue
$1.11bn/month September contract	Included in the hosting/run-rate spine	Start date, utilized capacity, renewal and customer concentration
$14.1bn contracted compute sales	Includes $1.6bn already recognized in Q2 and associated deferred amounts	Enforceable period and delivery schedule in the next filing
$47.461bn group backlog	Includes $14.286bn deferred revenue; no separate additive annual pool	Recognition mix: 56% within one year, 34% in one-to-three, 10% later
Up to $84.5bn Anthropic headline	Public headline only; corroborates commercialization, not incremental annual revenue	Calendar, cancellability, scope and overlap with existing capacity
$6bn government awards	Multiyear awards in enterprise/backlog reference	Funded orders, milestones and actual recognition
Mobile, orbital and owned AI	Supporting components of one joint endpoint; capacity cannot be sold twice	Scope-specific customer economics and physical availability

The Information September 29 item was accessible only as a public headline. No paywall was bypassed and no inaccessible contract details are asserted. Subtracting an earlier headline from a larger one would not establish incremental annual sales. [S7]

This is not a confirmation-only gate. Each quantified opportunity has an active probability through the joint model. Zero separate additions mean already included or overlapping economics, not zero probability that the business develops.

The active probability ledger

A joint expansion outcome plus two distinct adverse operating risks

B1 | Joint 2030 commercialization | 22.5%

Management's $1tn actual annual 2030 revenue endpoint receives a subjective 22.5% probability. The reference already contains December scaling, 5GW at end-2027, 14GW at end-2030, V3-supported broadband, existing government/mobile business and Cursor. Conditional incremental 2030 revenue is $1,000,000m less reference annual revenue of $480,850.8m = $519,149.2m.

A quadratic quarterly ramp allocates that incremental outcome and is normalized across the four 2030 quarters. It is not a separate independently derived target. The incremental mix is 75% AI, 20% Connectivity and 5% external launch/development, with separate product GP, R&D and SG&A. AI increment uses 55% GM less 15% R&D and 7% SG&A = 33% OP, including its depreciation and SBC burden.

The endpoint requires correlated progress in hardware, power, launch, orbital operation and paid capture. That warrants a lower probability than near-term customer delivery. Raise it on commissioned useful capacity, repeatable reuse and durable paid economics; lower it on delay, cancellation, funding or cost evidence. All mobile/orbital/application supporting signals enter this same outcome. [T1,T2,S3-S6]

B2 | Whole-AI realization miss | 30%

Conditional loss equals 25% of the single reference AI pool, allocated proportionally across hosting, own applications and Cursor. Its four-quarter ramp begins Q4 2026. Short enforceable commitments, renewal risk, software substitution and availability create uncertainty beyond the contracted near-term volume. Only 20% variable cost is saved; 80% of lost revenue reduces OP. Fixed research, depreciation, SG&A and capital commitments remain. [F1,F2,T2]

B3 | Additional consumer ARPU pressure | 30%

Reference consumer ARPU already falls from $66 toward $62. Conditional downside is a further 5% of average-subscriber service sales, excluding kit/residual revenue and enterprise. Geographic mix and competition support an additional 30% adverse weight; only 20% variable cost relief is assumed. The ramp and active amounts are visible in the next table. [F1,F2,T1]

Four representative paths form the analytical outcome mix: 22.5% joint expansion, 30% AI realization miss, 30% consumer ARPU miss and 17.5% reference. Active revenue = reference + p1 x joint increment - p2 x AI loss - p3 x consumer loss. Weights sum to 100% and are subjective. This is not a claim that the two risks cannot co-occur in reality; their combined case is a separate stress diagnostic.

Quarterly probability arithmetic

Conditional amounts precede probabilities | USD millions

Quarter	B1 conditional +revenue	B1 active +revenue	B2 conditional -revenue	B2 active -revenue	B3 conditional -revenue	B3 active -revenue	Net active OP
Q3 2026	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Q4 2026	0.0	0.0	856.9	257.1	0.0	0.0	-205.7
Q1 2027	613.7	138.1	2,629.7	788.9	42.0	12.6	-593.4
Q2 2027	2,454.6	552.3	5,179.7	1,553.9	96.3	28.9	-1,075.0
Q3 2027	5,522.9	1,242.6	8,640.6	2,592.2	164.5	49.4	-1,682.9
Q4 2027	9,818.4	2,209.1	10,171.9	3,051.6	248.6	74.6	-1,735.9
Q1 2028	15,341.3	3,451.8	11,421.9	3,426.6	276.0	82.8	-1,612.1
Q2 2028	22,091.5	4,970.6	13,015.6	3,904.7	309.6	92.9	-1,476.7
Q3 2028	30,068.9	6,765.5	14,179.7	4,253.9	345.6	103.7	-1,143.2
Q4 2028	39,273.7	8,836.6	15,726.6	4,718.0	384.0	115.2	-806.4
Q1 2029	49,705.8	11,183.8	16,750.0	5,025.0	415.8	124.7	-246.8
Q2 2029	61,365.2	13,807.2	18,250.0	5,475.0	453.6	136.1	292.6
Q3 2029	74,251.8	16,706.7	19,132.8	5,739.8	491.4	147.4	1,075.7
Q4 2029	88,365.8	19,882.3	20,585.9	6,175.8	529.2	158.8	1,817.6
Q1 2030	103,707.1	23,334.1	21,328.1	6,398.4	558.0	167.4	2,827.9
Q2 2030	120,275.7	27,062.0	22,734.4	6,820.3	595.2	178.6	3,772.5
Q3 2030	138,071.6	31,066.1	24,140.6	7,242.2	632.4	189.7	4,812.7
Q4 2030	157,094.8	35,346.3	25,546.9	7,664.1	669.6	200.9	5,948.5

Active F4Q OP bridge	Reference	B1 +OP	B2 -OP	B3 -OP	Active
Q3 2027-Q2 2028	68,787.80	4,112.02	10,380.00	239.70	62,280.12

B1 costs use eight product-specific incremental margins and expense rates. B2/B3 each lose 80 cents of OP per dollar of lost sales after limited variable-cost relief. B1 begins after the near-term reference anchor; the saved B2/B3 ramps determine the adverse recognition quarters. No branch probability is applied again to the ceiling.

Main operating driver: useful compute capacity

Our model | Capacity requirement is a check on the revenue endpoint

Average useful-capacity equivalent

GW

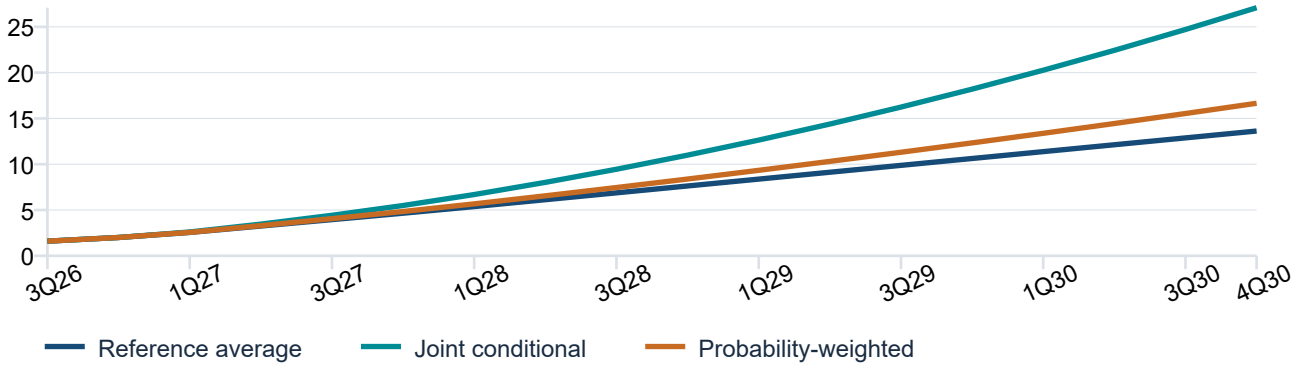


Figure 4. Our capacity cross-check. B1 extra AI revenue is back-solved at $35/W/year. Orbital allocation starts in 2028 and rises to 20% by Q4; earlier extra capacity is terrestrial. Probability-weighted capacity is not a deployment promise.

Quarter	Reference avg. GW	B1 conditional extra GW	B1 orbital avg. units	Reference $/W	End subscribers, m
Q3 2026	1.60	0.00	0	18.00	14.0
Q4 2026	2.00	0.00	0	27.42	16.0
Q1 2027	2.55	0.05	0	33.00	18.5
Q2 2027	3.25	0.21	0	34.00	21.0
Q3 2027	3.95	0.47	0	35.00	24.0
Q4 2027	4.65	0.84	0	35.00	27.0
Q1 2028	5.38	1.31	376	34.00	30.5
Q2 2028	6.12	1.89	1,082	34.00	34.0
Q3 2028	6.88	2.58	2,209	33.00	38.0
Q4 2028	7.62	3.37	3,847	33.00	42.0
Q1 2029	8.38	4.26	4,869	32.00	46.0
Q2 2029	9.12	5.26	6,011	32.00	50.0
Q3 2029	9.88	6.36	7,274	31.00	54.0
Q4 2029	10.62	7.57	8,656	31.00	58.0
Q1 2030	11.38	8.89	10,159	30.00	62.0
Q2 2030	12.12	10.31	11,782	30.00	66.0
Q3 2030	12.88	11.83	13,525	30.00	70.0
Q4 2030	13.62	13.47	15,389	30.00	74.0

Orbital units use 175kW average power each, not 250kW peak. A large required fleet is an explicit physical feasibility test. The endpoint needs factories, launch cadence, working spacecraft and paid workloads; these are jointly uncertain and not a separate addition to company revenue.

Revenue mix and growth

Our model | Consolidated external revenue only

Quarterly revenue by operating group

USD billions

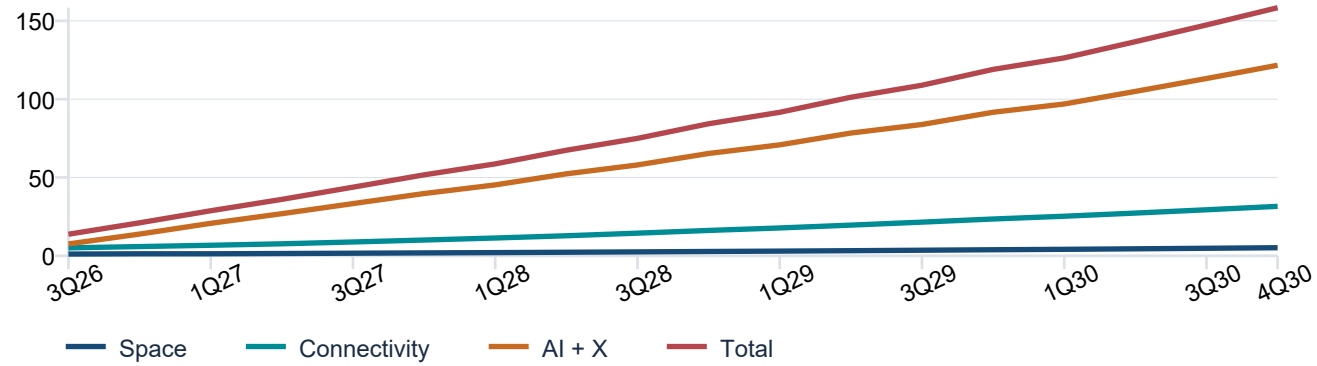


Figure 5. Our revenue forecast. Hosting, owned AI applications and Cursor share one compute monetization pool; X advertising is separate. Internal compute or launch transfers do not add consolidated revenue.

Quarter	Space	Connectivity	AI + X	Active total	Reference total
Q3 2026	1.12	5.07	7.59	13.78	13.78
Q4 2026	1.29	5.90	13.88	21.06	21.32
Q1 2027	1.30	6.73	20.74	28.76	29.42
Q2 2027	1.47	7.66	26.89	36.02	37.05
Q3 2027	1.66	8.83	33.33	43.81	45.21
Q4 2027	1.86	10.07	39.76	51.69	52.60
Q1 2028	2.05	11.36	45.27	58.68	58.74
Q2 2028	2.27	12.79	52.33	67.40	66.42
Q3 2028	2.51	14.46	58.01	74.97	72.57
Q4 2028	2.77	16.19	65.33	84.29	80.28
Q1 2029	3.00	17.79	70.83	91.61	85.57
Q2 2029	3.27	19.59	78.37	101.23	93.04
Q3 2029	3.56	21.49	83.83	108.89	98.07
Q4 2029	3.87	23.50	91.64	119.01	105.47
Q1 2030	4.14	25.26	96.93	126.33	109.56
Q2 2030	4.47	27.28	104.95	136.70	116.64
Q3 2030	4.81	29.38	113.18	147.38	123.74
Q4 2030	5.16	31.58	121.65	158.39	130.91

USD billions. Every forecast row has Model status; none is a reported result. The endpoint is a company-specific forward breadcrumb with bounded weight, not a forecast imported from a bank’s price target.

Operating profit and margin

Our model | GAAP-derived cost basis, including large ongoing development

Quarterly operating profit

USD billions

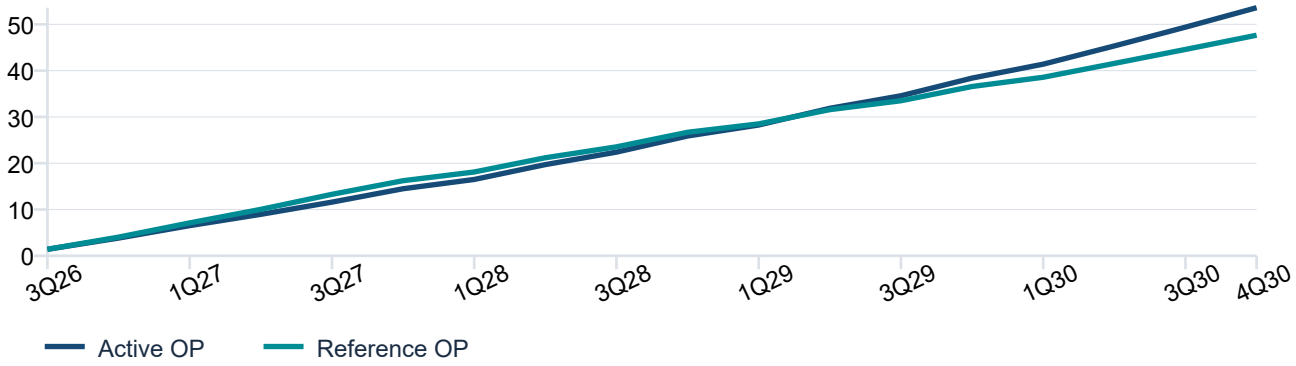


Figure 6. Our profit path retains R&D, SBC, serving cost, ordinary depreciation and acquired amortization. The numbers below expose the implied operating leverage rather than substituting adjusted EBITDA.

Quarter	GP	GM	Operating profit	OP margin	Reference OP
Q3 2026	7.53	54.6%	1.41	10.2%	1.41
Q4 2026	11.56	54.9%	3.83	18.2%	4.04
Q1 2027	15.50	53.9%	6.52	22.7%	7.11
Q2 2027	19.28	53.5%	8.96	24.9%	10.03
Q3 2027	23.27	53.1%	11.60	26.5%	13.28
Q4 2027	27.45	53.1%	14.49	28.0%	16.22
Q1 2028	30.77	52.4%	16.49	28.1%	18.10
Q2 2028	35.35	52.5%	19.70	29.2%	21.18
Q3 2028	39.36	52.5%	22.39	29.9%	23.54
Q4 2028	44.28	52.5%	25.88	30.7%	26.68
Q1 2029	48.06	52.5%	28.25	30.8%	28.50
Q2 2029	53.14	52.5%	31.86	31.5%	31.57
Q3 2029	57.24	52.6%	34.57	31.7%	33.49
Q4 2029	62.61	52.6%	38.39	32.3%	36.57
Q1 2030	67.13	53.1%	41.40	32.8%	38.57
Q2 2030	72.69	53.2%	45.33	33.2%	41.56
Q3 2030	78.41	53.2%	49.39	33.5%	44.58
Q4 2030	84.33	53.2%	53.59	33.8%	47.64

USD billions for profit. Revenue x OP margin = OP. Later margins depend on capacity realization and functional expenses growing slower than monetized output. Commissioning cost, renewals, power and model competition can weaken this path.

Quarterly revenue by product vector

USD millions | Eight distinct externally monetized vectors

Quarter	Launch	Develop.	Consumer	Enterprise	X ads	AI hosting	AI apps	Cursor	Total
Q3 2026	778	345	2,900	2,167	385	5,369	1,440	391	13,776
Q4 2026	907	380	3,296	2,601	422	10,494	2,422	538	21,060
Q1 2027	894	405	3,770	2,955	384	15,046	4,283	1,023	28,760
Q2 2027	1,035	435	4,274	3,387	404	19,541	5,599	1,345	36,021
Q3 2027	1,187	471	4,927	3,902	424	24,217	6,993	1,692	43,812
Q4 2027	1,347	513	5,564	4,505	464	28,845	8,401	2,047	51,687
Q1 2028	1,490	555	6,284	5,079	422	31,136	10,919	2,795	58,680
Q2 2028	1,668	603	7,068	5,727	444	35,947	12,676	3,262	67,396
Q3 2028	1,855	657	8,002	6,456	466	39,770	14,114	3,655	74,975
Q4 2028	2,052	716	8,924	7,269	511	44,708	15,953	4,154	84,287
Q1 2029	2,221	774	9,738	8,047	464	45,936	19,250	5,177	91,607
Q2 2029	2,435	838	10,693	8,898	488	50,780	21,338	5,762	101,233
Q3 2029	2,658	906	11,670	9,825	513	54,240	22,873	6,208	108,894
Q4 2029	2,891	980	12,668	10,832	562	59,218	25,039	6,823	119,014
Q1 2030	3,088	1,053	13,512	11,753	510	59,427	28,924	8,063	126,330
Q2 2030	3,338	1,130	14,543	12,738	537	64,331	31,324	8,759	136,699
Q3 2030	3,598	1,211	15,596	13,787	564	69,358	33,786	9,476	147,377
Q4 2030	3,867	1,298	16,671	14,905	618	74,510	36,310	10,213	158,392

Enterprise includes government and modeled mobile capture. AI hosting, AI apps and Cursor share one total AI pool; their allocations sum to 100%. B1 adds a joint incremental mix. B2 reduces the reference AI pool proportionally; B3 reduces consumer service revenue. Rounded columns may differ slightly from displayed totals; all formulas use full precision.

The Q3 Cursor reference uses 48 of 92 days after August 14 closing and a $3bn annualized proxy, anchored only directionally to the earlier issuer-linked $2bn media report. Thereafter Cursor is allocated from the same AI pool rather than added again as an independent software TAM.

Quarterly gross profit by product vector

USD millions | Explicit product economics, not a single blended group margin

Quarter	Launch	Develop.	Consumer	Enterprise	X ads	AI hosting	AI apps	Cursor	Total GP
Q3 2026	544	197	1,392	1,246	193	3,221	576	157	7,526
Q4 2026	635	217	1,582	1,495	211	6,256	950	211	11,558
Q1 2027	626	231	1,825	1,713	192	8,596	1,873	447	15,504
Q2 2027	724	249	2,066	1,963	202	11,073	2,418	582	19,277
Q3 2027	830	270	2,377	2,261	212	13,607	2,984	725	23,267
Q4 2027	942	294	2,681	2,610	232	16,203	3,606	885	27,452
Q1 2028	1,041	319	3,062	2,964	211	16,845	5,032	1,294	30,767
Q2 2028	1,164	347	3,446	3,341	222	19,452	5,863	1,517	35,352
Q3 2028	1,294	378	3,905	3,764	233	21,526	6,554	1,708	39,363
Q4 2028	1,430	413	4,358	4,235	255	24,204	7,434	1,950	44,280
Q1 2029	1,547	447	4,805	4,720	232	24,436	9,344	2,525	48,055
Q2 2029	1,695	485	5,279	5,216	244	27,025	10,381	2,818	53,143
Q3 2029	1,849	525	5,765	5,756	256	28,885	11,159	3,046	57,242
Q4 2029	2,010	569	6,262	6,342	281	31,551	12,243	3,356	62,614
Q1 2030	2,145	611	6,743	6,922	255	31,693	14,661	4,102	67,133
Q2 2030	2,318	657	7,261	7,496	269	34,325	15,898	4,463	72,687
Q3 2030	2,497	705	7,791	8,109	282	37,025	17,170	4,835	78,413
Q4 2030	2,682	757	8,332	8,761	309	39,793	18,476	5,219	84,328

Reference GP equals reference product revenue x its own GM. B1 adds each product's conditional revenue x its incremental GM x 22.5%. AI/consumer losses deduct 80% of lost revenue after 20% variable cost relief. R&D, SG&A and Cursor amortization are then deducted to obtain OP.

These standalone GMs are estimated. Their June calibration reproduces reported Space, Connectivity and AI GP exactly; that reconciliation does not make the subproduct margins reported facts. Depreciation and SBC remain embedded in the relevant cost and expense lines.

Complete quarterly operating model

Eighteen rows | Calendar equals fiscal quarter | USD millions

Quarter	Revenue	GP	R&D	SG&A	Cursor amort.	Operating profit	OP margin	Diluted shares, m
Q3 2026	13,776	7,526	4,276	1,530	313	1,407	10.2%	14,210.315
Q4 2026	21,060	11,558	4,959	2,169	600	3,830	18.2%	14,245.708
Q1 2027	28,760	15,504	5,668	2,718	600	6,518	22.7%	14,281.190
Q2 2027	36,021	19,277	6,503	3,217	600	8,957	24.9%	14,316.760
Q3 2027	43,812	23,267	7,339	3,730	600	11,598	26.5%	14,352.418
Q4 2027	51,687	27,452	8,170	4,194	600	14,488	28.0%	14,649.965
Q1 2028	58,680	30,767	9,080	4,596	600	16,492	28.1%	14,685.802
Q2 2028	67,396	35,352	9,968	5,082	600	19,702	29.2%	14,721.727
Q3 2028	74,975	39,363	10,866	5,503	600	22,394	29.9%	14,757.742
Q4 2028	84,287	44,280	11,797	6,006	600	25,878	30.7%	14,793.847
Q1 2029	91,607	48,055	12,795	6,408	600	28,252	30.8%	14,830.042
Q2 2029	101,233	53,143	13,756	6,922	600	31,865	31.5%	14,866.327
Q3 2029	108,894	57,242	14,725	7,347	600	34,570	31.7%	14,902.702
Q4 2029	119,014	62,614	15,739	7,885	600	38,390	32.3%	14,939.168
Q1 2030	126,330	67,133	16,840	8,295	600	41,398	32.8%	14,975.724
Q2 2030	136,699	72,687	17,907	8,848	600	45,332	33.2%	15,012.372
Q3 2030	147,377	78,413	19,004	9,417	600	49,393	33.5%	15,049.111
Q4 2030	158,392	84,328	20,133	10,002	600	53,593	33.8%	15,085.941

OP = GP - R&D - SG&A - additional Cursor acquisition amortization. Space research grows from June with Starship work retained. Connectivity research scales sublinearly with subscribers plus development. AI research scales with average capacity and includes a separate Cursor research provision. Expense elasticities are analytical proxies, not issuer cost guidance.

Cursor amortization assumes $12bn finite-lived acquired intangibles over five years, or $600m per full quarter, prorated in Q3. This is a 20% allocation of stated purchase value, not a reported purchase-price allocation. Existing amortization remains inside ordinary calibrated costs. The sensitivity tests $300m and $900m per quarter.

Annual reconciliation and physical endpoint

Annual totals sum quarterly economics; 2030 conditional means a full calendar year

Year / coverage	Reference revenue	Active revenue	Conditional revenue	Active GP	R&D + SG&A	Amort.	Active OP	OP margin
2026 / H2 only	35,093	34,836	35,093	19,084	12,933	913	5,238	15.0%
2027 / full year	164,289	160,280	182,699	85,500	41,539	2,400	41,561	25.9%
2028 / full year	278,010	285,337	384,785	149,762	62,896	2,400	84,466	29.6%
2029 / full year	382,150	420,748	655,839	221,054	85,577	2,400	133,077	31.6%
2030 / full year	480,851	568,798	1,000,000	302,560	110,445	2,400	189,715	33.4%

Year-end operating proxy	2026	2027	2028	2029	2030
Reference ending terrestrial GW	2.20	5.00	8.00	11.00	14.00
Reference ending subscribers, m	16.0	27.0	42.0	58.0	74.0
B1 extra average-capacity requirement, GW	0.00	0.84	3.37	7.57	13.47
B1 orbital average units	0	0	3,847	8,656	15,389

Conditional 2030 annual revenue sums to $1,000.0bn. It is not the Q4 amount multiplied by four. The incremental average-capacity requirement is back-solved from revenue at $35/W/year; it is a feasibility obligation of the conditional model, not a supplier order or management deployment guide.

Reference 2027 ending capacity uses the lower end of management's 5-10GW range. The 14GW reference for end-2030, later subscriber path and the 80/20 terrestrial/orbital incremental allocation are analyst extensions. Shared physical dependencies are why the more ambitious outcome has one joint probability.

Quarterly ceilings

Our model | USD per ordinary share | Method held constant

20x forward-four-quarter operating profit

USD / ordinary share

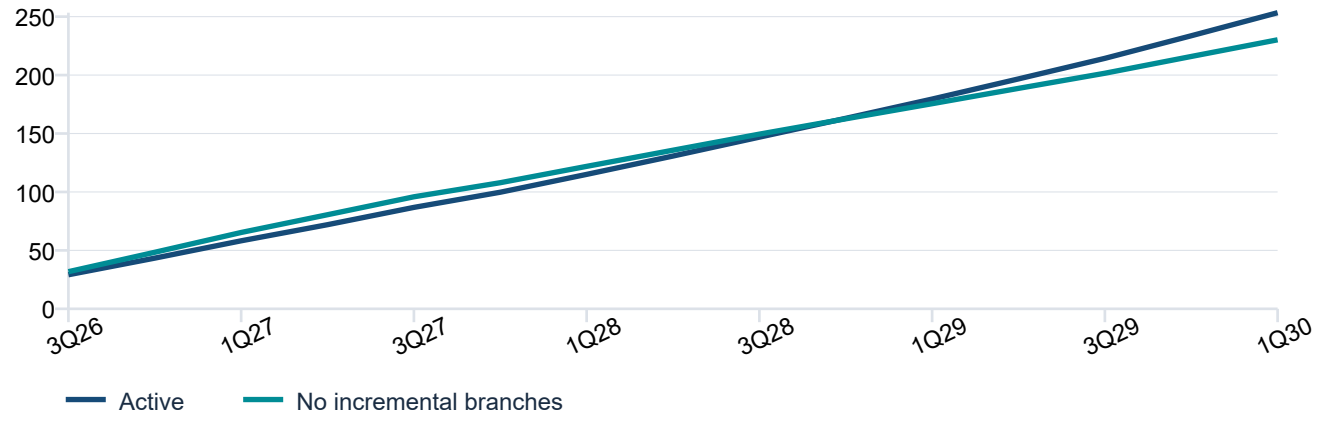


Figure 7. Our ceiling path. The control removes the joint expansion and both adverse branches together. Shares, period, ordinary cost basis and 20x multiple remain unchanged.

Ceiling quarter	Active ceiling	Control ceiling	Confidence
Q3 2026	29.15	31.79	MEDIUM
Q4 2026	43.39	48.38	MEDIUM
Q1 2027	58.20	65.33	MEDIUM
Q2 2027	71.99	80.52	MEDIUM
Q3 2027	86.79	95.86	MEDIUM
Q4 2027	99.76	107.91	MEDIUM
Q1 2028	115.03	121.89	LOW
Q2 2028	130.73	135.72	LOW
Q3 2028	146.89	149.47	LOW
Q4 2028	162.99	162.57	LOW
Q1 2029	179.47	175.51	LOW
Q2 2029	196.72	188.63	LOW
Q3 2029	214.31	201.57	LOW
Q4 2029	233.63	215.92	LOW
Q1 2030	253.36	230.18	LOW

The ceiling is a probability-weighted operating-model result, not a promised share price or a broker target. The next 12-16 months are the most decision-useful interval; reliability declines further out as commercialization, capacity, financing and cost assumptions compound.

All fifteen exact ceiling derivations

Current quarter plus next three | USD millions and millions of ordinary shares

Ceiling quarter	Four quarterly OP inputs and exact window	Forward 4Q OP	Shares, m	Multiple	Ceiling / share
Q3 2026	1,407.4 + 3,830.1 + 6,517.6 + 8,957.2 | Q3 2026 - Q2 2027	20,712.38	14,210.315	20x	29.15
Q4 2026	3,830.1 + 6,517.6 + 8,957.2 + 11,597.9 | Q4 2026 - Q3 2027	30,902.86	14,245.708	20x	43.39
Q1 2027	6,517.6 + 8,957.2 + 11,597.9 + 14,488.0 | Q1 2027 - Q4 2027	41,560.70	14,281.190	20x	58.20
Q2 2027	8,957.2 + 11,597.9 + 14,488.0 + 16,492.2 | Q2 2027 - Q1 2028	51,535.32	14,316.760	20x	71.99
Q3 2027	11,597.9 + 14,488.0 + 16,492.2 + 19,702.0 | Q3 2027 - Q2 2028	62,280.12	14,352.418	20x	86.79
Q4 2027	14,488.0 + 16,492.2 + 19,702.0 + 22,394.1 | Q4 2027 - Q3 2028	73,076.29	14,649.965	20x	99.76
Q1 2028	16,492.2 + 19,702.0 + 22,394.1 + 25,877.7 | Q1 2028 - Q4 2028	84,466.04	14,685.802	20x	115.03
Q2 2028	19,702.0 + 22,394.1 + 25,877.7 + 28,252.4 | Q2 2028 - Q1 2029	96,226.26	14,721.727	20x	130.73
Q3 2028	22,394.1 + 25,877.7 + 28,252.4 + 31,864.7 | Q3 2028 - Q2 2029	108,388.88	14,757.742	20x	146.89
Q4 2028	25,877.7 + 28,252.4 + 31,864.7 + 34,570.1 | Q4 2028 - Q3 2029	120,564.89	14,793.847	20x	162.99
Q1 2029	28,252.4 + 31,864.7 + 34,570.1 + 38,389.9 | Q1 2029 - Q4 2029	133,077.08	14,830.042	20x	179.47
Q2 2029	31,864.7 + 34,570.1 + 38,389.9 + 41,397.7 | Q2 2029 - Q1 2030	146,222.35	14,866.327	20x	196.72
Q3 2029	34,570.1 + 38,389.9 + 41,397.7 + 45,332.0 | Q3 2029 - Q2 2030	159,689.65	14,902.702	20x	214.31
Q4 2029	38,389.9 + 41,397.7 + 45,332.0 + 49,392.9 | Q4 2029 - Q3 2030	174,512.49	14,939.168	20x	233.63
Q1 2030	41,397.7 + 45,332.0 + 49,392.9 + 53,592.9 | Q1 2030 - Q4 2030	189,715.46	14,975.724	20x	253.36

Ceiling = sum(OP in Q through Q+3) x 20 / diluted shares at Q. Active exact chain: 62,280.117305 x 20 / 14,352.418148 = $ 86.786933. There is no currency or ADS conversion. The model ends with Q1 2030 priced from Q1-Q4 2030 profit.

Net cash, Bitcoin, investment assets, debt, taxes and interest are not separate additions/subtractions in this selected new-coverage OP convention. Funding, dilution and cost consequences are modeled or disclosed explicitly. A net-income, revenue-multiple or sum-of-parts switch requires separate user authorization.

Workbook custody: SPCX_Q_Model!A7:N25 holds outputs, M8:M22 all ceilings and M12 the active ceiling. Probabilities are B29/F29/J29; total weight N29 and reference residual N30. B1 rows 157-198; B2/B3 rows 205-222; active operating bridge rows 229-246. The evidence ledgers occupy rows 520-549. Master row 132 and Quarterly Ceilings row 135 receive the new position; existing scores and methodologies are preserved.

Capital, ordinary shares and future dilution

Dated share bridge; issued restricted stock is not issued a second time

Share bridge	Million ordinary shares / treatment
July 28 Class A + B	13,181.779945
Cursor common + vested RSUs	391.041680; before withholding
Known post-Cursor issued proxy	13,572.821625
Ordinary awards / Cursor award reserve	564.000000 + 73.493373
Forward starting denominator	14,210.314998; gross reserve, not certified GAAP diluted weighted shares
Subsequent net dilution	1% annually; separate spectrum shares from modeled Q4 2027 closing
Spectrum issuance	261.8m fixed shares at stated $42.40; not reset to current price
CEO restricted Class B	1,302.072285m ALREADY issued and included in Class B; never added again
Remaining conditioned awards	28.927715m possible residual classification; full additional reserve is a sensitivity

The May five-for-one split, IPO issuance and July Mesh Optical shares are already reflected in the dated issued counts. June loss-EPS weighted shares of 5,864m are unsuitable for a full forward denominator because conversion and IPO occurred during the quarter. Tax withholding, vesting and dated award overlap remain uncertainty in the conservative gross reserve. [F2-F4,F6,F7]

June cash plus securities is $100.009bn; debt and finance leases total $39.364bn. The June $25bn note issue at weighted 5.855% coupon refinanced older obligations and is already included. The $13.329bn related-party failed-sale/leaseback debt is also inside the total, not additional debt. The $5bn facility is undrawn. [F2]

Future spectrum consideration includes up to $8.5bn cash plus trust payments. Only $385m of the $1.241bn 2026 trust amount remains after $856m paid by June; 2027 adds $828m. These are capitalized spectrum consideration, not ordinary interest expense. [F2]

Funding: cash is not the same as profit

Illustrative liquidity path | USD millions | All funding assumptions labeled

Active year	Start cash	OP	D&A + SBC cash add-backs	OCF proxy	Cash capex	Spectrum + debt principal	End cash
2026 / H2	100,009	5,238	10,269	12,929	36,738	1,329	74,871
2027	74,871	41,561	32,176	62,199	93,046	11,730	32,294
2028	32,294	84,466	50,831	115,100	120,737	2,867	23,790
2029	23,790	133,077	72,135	175,207	145,942	3,422	49,633
2030	49,633	189,715	95,793	243,991	172,966	3,597	117,060

Starts from June $100,009m cash/securities. OCF proxy = OP + retained noncash D&A/SBC - cash interest - cash tax - incremental working capital. D&A/SBC are added only for cash reconciliation, not for valuation. Capital spending is not expensed a second time. H1 actual OCF 3,466 less cash capex 28,476 was -25,010 before rebates and other investing items. [F1,F2]

Cash assumptions: $625m quarterly base interest, 20% tax on positive OP after interest, 4% incremental working capital; H2 capex $18,369m each quarter. Later capital cost is a LOW proxy of $25bn per incremental GW plus maintenance and separate connectivity/launch capital. A deficit first draws the existing $5bn facility at a 6.5% rate proxy; larger needs use an explicit financing-share diagnostic. This is not cash guidance.

Diagnostic / capital cost	Cash trough quarter	Pre-financing cash	Peak credit	New equity through 2030	Q3 2027 ceiling
Reference	Q1 2028	40,854	0	0	95.86
Active	Q3 2028	22,540	0	0	86.79
Joint Endpoint	Q4 2028	-2,076	2,434	0	121.32
Combined Adverse	Q1 2029	-3,137	5,000	1,126	46.53
Active / $35Bn Per Gw	Q1 2028	-15,123	5,000	67,084	76.17
Joint Endpoint / $35Bn Per Gw	Q1 2028	-23,547	5,000	173,183	105.78
Compute Miss / $35Bn Per Gw	Q1 2028	-17,124	5,000	115,093	38.06
Combined Adverse / $35Bn Per Gw	Q1 2028	-17,300	5,000	119,041	36.96

At the base $25bn/GW cost, compute-miss alone draws $4.034bn credit and no equity; consumer-ARPU-miss needs neither. Every component of the active mixture fits within existing cash and the $5bn facility, supporting the common share basis. Cases without a stated cost use $25bn/GW; the cash trough and financing totals cover the full model through 2030.

The $35bn/GW stress includes higher capital spending, five-year depreciation of its incremental cost and credit interest. Beyond the $5bn facility, equity is issued at a $135 fixed diagnostic price; ceiling shares reserve all funding issuance needed through Q2 2028. This is a coherent financing sensitivity, not a share-price target or an assumption of free funding.

Sensitivity and unresolved assumptions

Q3 2027 ceiling diagnostics | Same method and horizon

Diagnostic	USD / ordinary share
Active case	86.79
Reference only	95.86
Joint endpoint 0%; removed weight to reference	81.06
50% joint endpoint + 50% reference	108.59
100% joint endpoint	121.32
AI realization miss 0%; removed weight to reference	101.25
100% AI realization miss	47.64
Consumer ARPU miss 0%; removed weight to reference	87.12
100% consumer ARPU miss	94.74
Cursor amortization $300m/quarter	88.46
Cursor amortization $900m/quarter	85.11
Shares +5%	82.65
Residual conditional awards +28.928m	86.61
Operating margin -3pp	77.47
Operating margin +3pp	96.11
$35bn/GW active funding stress with extra D&A and dilution	76.17
Combined adverse diagnostic with financing dilution	46.53

The 50% and 100% endpoints replace the other branches with reference weight, so every analytical mixture sums to 100%. Zeroing a branch transfers its weight to reference while leaving the other active weights fixed. Combined adversity is a separate diagnostic. No case changes the multiple.

Amortization sensitivity reflects an unreported purchase-price allocation. The additional share reserve tests the unresolved smaller conditioned-award balance; adding the already-issued CEO award again would be an error.

Key gaps are the exact forward contract calendar, cancellation/renewal behavior, current Cursor recognized revenue and purchase accounting, actual billed utilization, future useful cost per watt, and the funding/physical scale required by the joint endpoint. Explicit proxies permit a model now; the next results must replace them when better evidence arrives.

A model can show positive cash under its cost assumptions while financing risk remains substantial. Short contract commitments, long asset lives, correlated technical execution and a much larger conditional fleet make capex, margins and timing sensitivities economically important.

Catalysts, invalidation and cross-book effects

6-18 month tests before distant endpoints dominate the story

Window / test	Supports higher realization or probability	Counter-evidence / response
Next reported quarter	Cursor consolidation, clear gross profit and retained-cost accounting	Weak acquisition margin or unexpected SBC/amortization lowers OP
December 2026	Run-rate consistent with roughly $100bn annualized and commissioned capacity	Rephase revenue and costs if contracts or billed availability miss
2027 capacity build	Useful contracted compute approaches management's range with renewal demand	Reduce deployment or realization if power, hardware or demand binds
2027 launch system	Repeatable payload service and progress toward full rapid reuse	Higher replacement cost or launch interruption weakens multiple vectors
H1 2028 mobile / orbital path	Customer service and usable capacity appear with acceptable economics	Delay conditional timing without deleting all longer-term probability
Funding and shares	Cash/commitment coverage and ordinary-share changes remain explainable	Update financing or dilution if capex exceeds funded resources

Existing-universe relationships

NVDA participates in the announced compute architecture. MU, Samsung, SK Hynix, SNDK and Kioxia can benefit from memory/storage intensity; optics and networking suppliers require their own qualification and capture bridges. BE and VRT relate to terrestrial power infrastructure. No group run-rate automatically becomes a revenue award to all suppliers.

Terrestrial hosting competes with NBIS/CRWV and hyperscaler supply. Amazon Leo has an announced AT&T enterprise/public-sector channel; terrestrial fiber remains competitive in dense areas. RKLB and ASTS overlap different launch/mobile opportunities without becoming interchangeable proxies for SpaceX. [S8,S9]

Method and model discipline

New evidence changes timing, capacity, realization, cost, funding or shares through the current company model. After publication, the 20x operating-profit method remains locked unless Tom explicitly authorizes a change. The current share price does not decide the operating forecast or Base score.

Sources: financials and management

Source dates, scope and retrieval limitations remain explicit

F1 | SpaceX Q2 2026 issuer earnings release, corrected compute comparison | 2026-08-04
https://s21.q4cdn.com/184289198/files/doc_financials/2026/q2/SpaceX-Reports-Second-Quarter-2026-Results.pdf

F2 | SpaceX June 30 2026 Form 10-Q | 2026-08-04
https://www.sec.gov/Archives/edgar/data/1181412/000162828026052535/spcx-20260630.htm

F3 | Cursor acquisition closing Form 8-K | 2026-08-14
https://www.sec.gov/Archives/edgar/data/1181412/000162828026056945/spcx-20260814.htm

F4 | SEC-filed June 4 prospectus / Japanese FWP (historical accounting and award terms) | 2026-06-04
https://www.sec.gov/Archives/edgar/data/1181412/000162828026041013/japanfwp_06042026.htm

F5 | Final IPO prospectus (identified; automated full retrieval failed) | 2026-06-12
https://www.sec.gov/Archives/edgar/data/1181412/000162828026042639/spaceexplorationtechnologi.htm

F6 | SEC-filed UK prospectus: issued CEO restricted shares included in Class B | 2026-06-03
https://www.sec.gov/Archives/edgar/data/1181412/000162828026040874/spacexukfwp.htm

F7 | Elon Musk Form 3: issued restricted Class B shares | 2026-06-11
https://www.sec.gov/Archives/edgar/data/1494730/000162828026042628/xslF345X03/wk-form3_1781226017.xml

T1 | August 4 first public earnings call, management remarks (transcript mirror) | 2026-08-04
https://elonmuskarchive.org/video/spacex-q2-2026-earnings-call

T2 | September 10 Goldman Sachs conference CFO remarks (transcript mirror) | 2026-09-10
https://earningscalls.dev/transcripts/space-exploration-technologies-corp_spcx_earnings_call_transcript_2026-09-10

T3 | Issuer confirmation of September 10 CFO conference | 2026-08-27
https://ir.spacex.com/updates/releases-details/2026/SpaceX-to-Participate-in-the-Goldman-Sachs-Communacopia-and-Technology-Conference-2026-hMRDqGksMV/default.aspx

The final June 12 IPO prospectus was identified but not fully retrieved. No uninspected claim is attributed to that version. Earlier SEC-filed material is used only for inspected historical accounting and share-award terms; the latest 10-Q and completed Cursor 8-K govern current capital. T1/T2 are management transcriptions, not issuer-reviewed filing text.

Sources: products, capacity and competition

Source dates, scope and retrieval limitations remain explicit

S1 | Cursor acquisition completed; August 14, 2026
https://cursor.com/blog/joining-spacex

S2 | Cursor current posted product prices; retrieved September 30
https://cursor.com/pricing

S3 | SpaceX Starship flight-14 primary mission plan; distinguish planned from achieved
https://www.spacex.com/launches/starship-flight-14

S4 | SpaceX Starmind / AI1 technical specification; indexed primary content
https://www.spacex.com/spacexai/starmind

S5 | NVIDIA SpaceXAI collaboration; August 24, 2026
https://investor.nvidia.com/news/press-release-details/2026/SpaceXAI-Adopts-NVIDIA-Vera-CPU-to-Accelerate-Agentic-AI-at-Massive-Scale/default.aspx

S6 | Anthropic SpaceX compute collaboration and orbital interest; May 6, 2026
https://www.anthropic.com/news/higher-limits-spacex

S7 | The Information public $84.5bn headline; September 29; full article not accessed
https://www.theinformation.com/briefings/anthropic-discloses-84-5-billion-spacex-compute-agreements

S8 | AT&T / Amazon Leo distribution partnership; September 8, 2026
https://about.att.com/story/2026/amazon-leo-satellite.html

S9 | AT&T / Corning fiber agreement; September 29, 2026
https://about.att.com/story/2026/att-corning-engineer-connected-world.html

S10 | SPCX quote; September 30, 2026, 15:36 EDT
https://stockanalysis.com/stocks/spcx/

S11 | Cursor issuer blog Press section; links March 2 Bloomberg recurring-revenue headline
https://cursor.com/blog

The source archive preserves original issuer reports and retrieved HTML/text. Original exhibits are placed beside their operating assumptions; model charts have numeric tables beneath. All figures reconcile to the saved full model. This is a clean current-state artifact, not a historical review appendix. Future evidence updates probabilities and operating inputs without silently changing the chosen method.